



Index Number:

NATIONAL CERTIFICATE OF EDUCATION

2024

BUSINESS AND ENTREPRENEURSHIP EDUCATION (N560)

TOTAL TIME FOR
SECTION A AND SECTION B: 2 HOURS

SECTION A: BUSINESS / ENTERPRISE / ECONOMICS

Candidates answer on the Question Paper.
Additional Materials: Calculator and Ruler

INSTRUCTIONS TO CANDIDATES

This paper consists of two sections:

Section A: Business / Enterprise / Economics and Section B: Accounting.

You should ensure that you have received the booklets for both Section A and Section B.

Instructions for Section A

You are advised to spend **1 hour 15 minutes** on Section A.

1. Write your index number in the space provided above.
2. Answer **ALL** questions.
3. Write in dark blue or black ink. Do not use correction fluid.
4. This section consists of **5** questions printed on **15** pages, numbered **2** to **16**.
5. The number of marks for each question is given in brackets ().
6. The total marks for Section A is **65**.

For Examiners' use							
Question No.	1	2	3	4	5	Total	Signature
Examiner							
Team Leader							
CE/ACE							

SECTION A – Business / Enterprise / Economics

Answer ALL Questions (65 marks)

Question 1A (10 marks)

Circle the correct answer. Each item carries one mark.

1. Which form of business organisation sells shares to relatives and friends?

- A Public Limited Company
- B Franchise
- C Private Limited Company
- D Cooperative

2. Who **runs** and **controls** an enterprise?

A



Managers

B



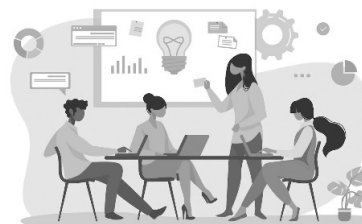
Consumers

C



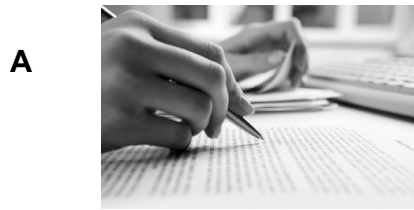
Suppliers

D

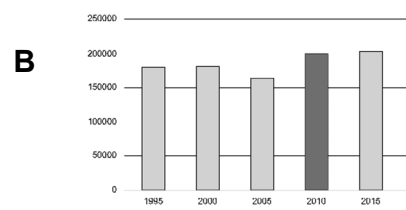


Employees

3. Which of the following is an example of **visual communication**?



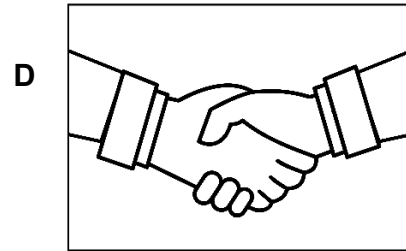
A report



A chart



A meeting



A handshake

4. **Figure 1** shows the process of effective communication.

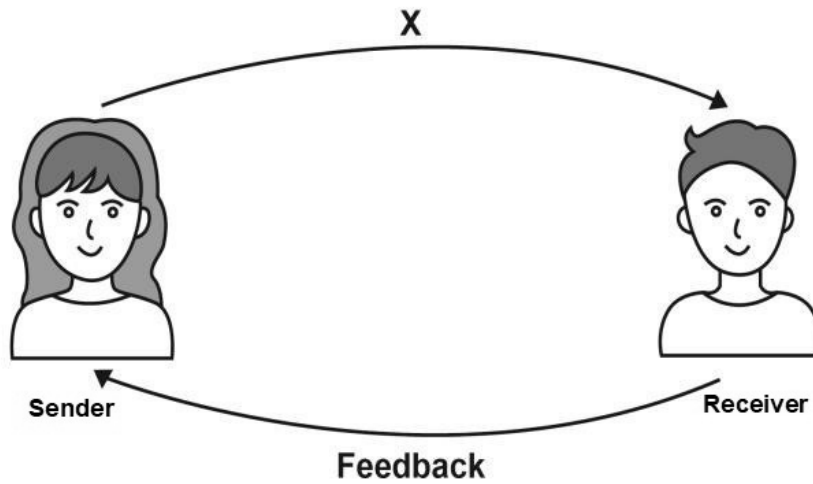
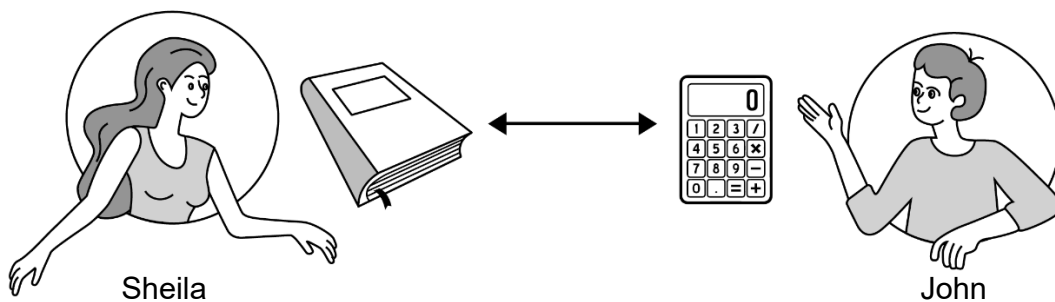


Figure 1: Effective Communication

What does **X** represent in **Figure 1**?

- A** Medium
- B** Transmitter
- C** Recipient
- D** Message

5. The **law of demand** states that when price falls, quantity demanded
- A** falls
- B** rises
- C** remains the same
- D** becomes zero
6. Money which is borrowed is known as
- A** interest
- B** savings
- C** a loan
- D** an income
7. Sheila exchanges a book against a calculator with John.



This is an example of a

- A** metallic money
- B** barter system
- C** cashless society
- D** commodity money

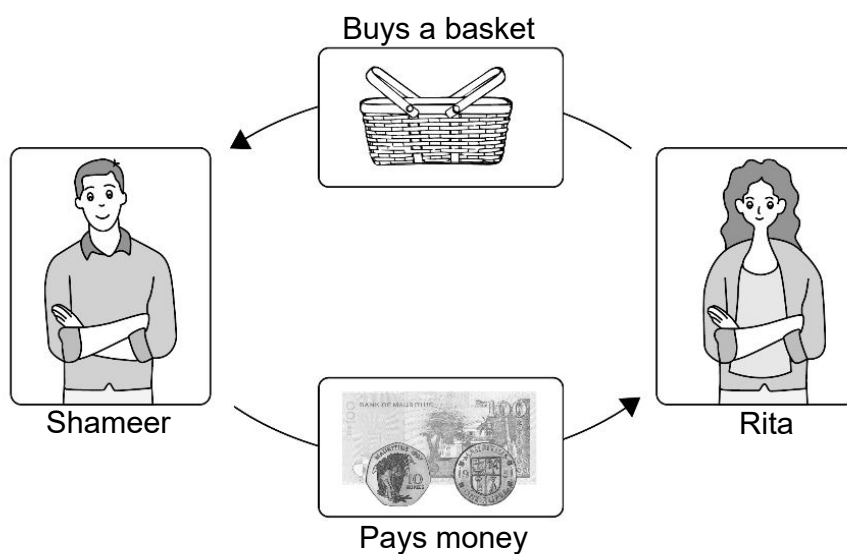
8. is concerned with exchanging a product for cash.

- A Selling
- B Marketing
- C Market research
- D Buying

9. Which one of the following is a function of a **central bank**?

- A Providing advice to customers
- B Accepting deposits from individuals
- C Keeping currency reserves
- D Assisting customers in making payments

10. Shameer, who lives in Moka, buys a basket from Rita's shop in Port Louis.



This is an example of

- A international trade
- B export
- C import
- D home trade

Question 1B (4 marks)

Fill in the blanks with a suitable term. Choose from the words given in brackets. An example is given.

Example: A marketable product is a product which consumers need and will be ready to buy. (~~marketable~~, saleable)

1. Members of a cooperative have liability.
(limited, unlimited)
2. communication takes place when the owner of an enterprise sends an email to a supplier. (Internal, External)
3. The purchase of pickles from India represents money for Mauritius. (inflows, outflows)
4. Poor communication between an owner and their employees is an example of a (conflict, risk)

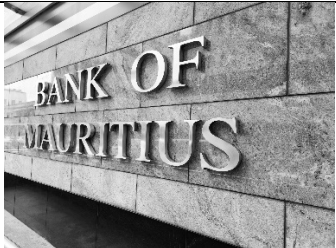
[4]

Question 1C (8 marks)

- (i) Match each **term** to its corresponding **picture**. Write your answers in the **answer grid** provided.

The first one has been done for you.

	Term
1	Government
2	A commercial bank in Mauritius
3	A banker for the Mauritian government
4	Franchise enterprise
5	Effective communication

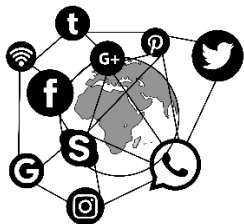
	Picture
A	
B	
C	
D	
E	
F	

Answer grid

Term	1	2	3	4	5
Picture	D				

[4]

- (ii) Match each **term** to its corresponding **description / definition**. Write your answers in the **answer grid** provided.

	Term
1	Email marketing 
2	Spending 
3	Social Media Marketing 
4	Savings 

	Description / Definition
A	Use of Facebook and Twitter to promote products.
B	Money kept for future use.
C	Paying out money to buy goods.
D	Allocating resources to meet the business objectives.
E	Promoting products through the use of emails to customers.

Answer grid

Term	1	2	3	4
Description / Definition				

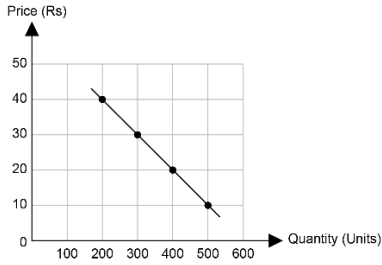
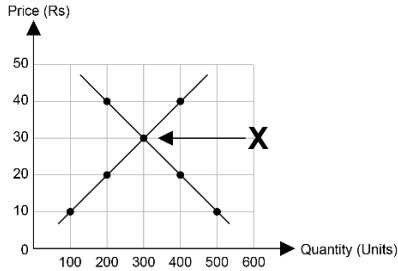
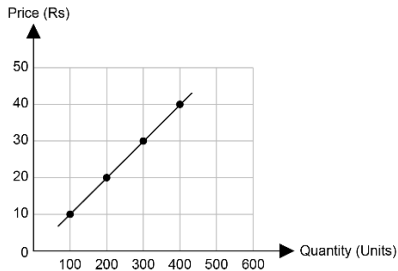
[4]

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Question 2 (11 marks)

- (a) Complete the table below, by giving the **key term** which matches each of the **description** provided. Choose from the list of word(s) given below.
The first one has been done for you.

Supply curve	Market	Demand curve	Equilibrium point
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	Description	Key Term
1	A place where goods and services are bought and sold. 	Market
2	Shows the quantity consumers are willing to buy at different prices. 	
3	A state of balance between quantity bought and sold. 	
4	Shows the quantity suppliers are willing to sell at different prices. 	

[3]

(b) State whether the following statements are **True** or **False**.

An example is given.

	True / False
Example: People with higher disposable income usually save less.	False
1. A franchisee pays a license fee to a franchisor.	
2. International trade helps to create jobs.	
3. Enterprises supply more products when prices fall.	
4. Promotion is an element of marketing.	
5. Money must be unlimited in supply to retain its value.	

[5]

(c) Viraj Cosmetic Ltd is a **company** that produces and sells beauty products.

In **Figure 2**, identify **three features** of the company.

Tick (✓) the correct boxes.

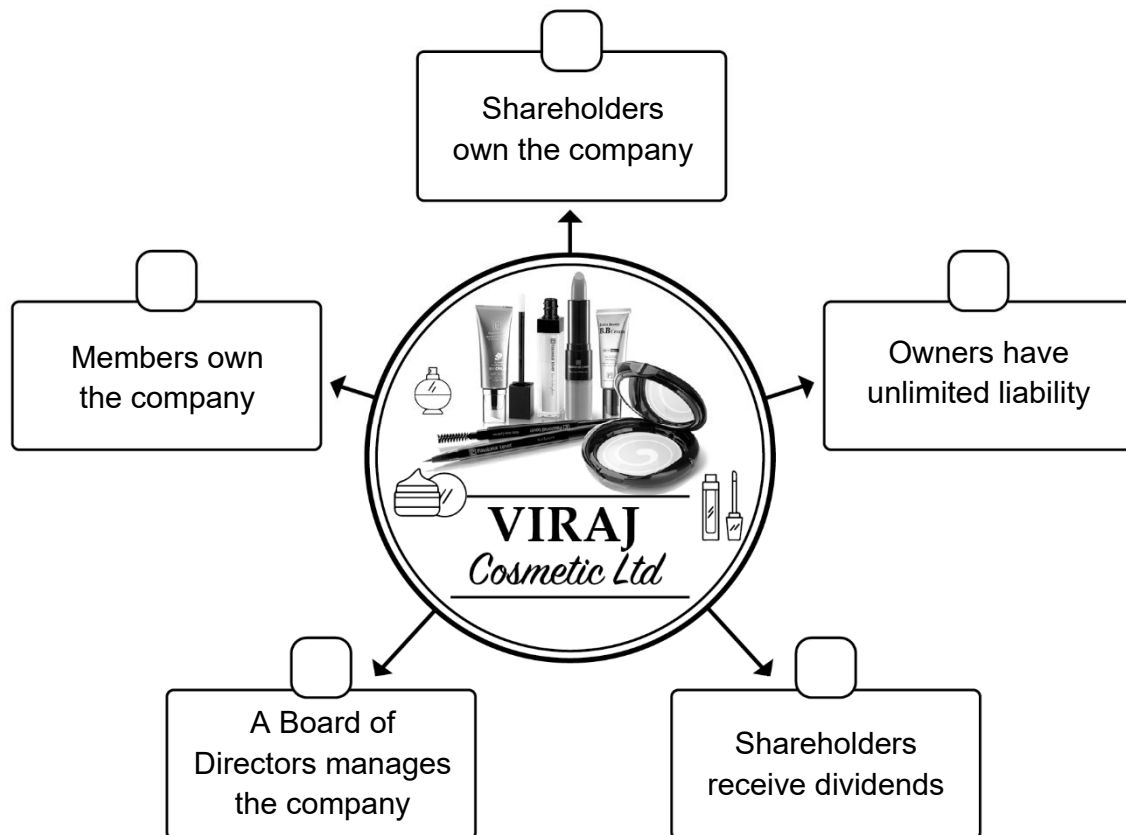


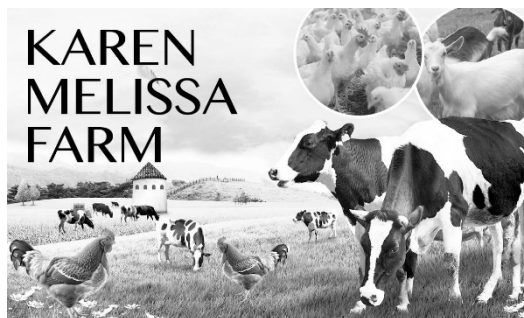
Figure 2

[3]

Question 3 (12 marks)

Karen Melissa Farm (KMF)

Karen Melissa owns a small successful business at Mont Limon in Rodrigues. The main activity of KMF is rearing of animals for resale.



- (a) Circle the correct answer.

A business organisation is an enterprise which provides goods and to consumers.

- A** wants
- B** services
- C** needs

[1]

- (b) Successful entrepreneurs have a number of qualities.

Tick (✓) **two qualities** that Karen Melissa has as an entrepreneur.

Humorous

☐

Passionate

☐

Self-confident

☐

Risk-averse

☐

[2]

- (c) List **three responsibilities** of Karen Melissa as an entrepreneur.

1.
2.
3.

[3]

- (d) Karen Melissa is planning to borrow funds from a local bank to finance the expansion of her business.

Tick (✓) **three** factors which affect borrowing.

Prices of goods and services

☐

Availability of loans

☐

Expectations of higher income in the future

☐

Customers' tastes and preferences

☐

Rate of interest

☐

[3]

- (e) Businesses are usually exposed to risk.

In the **table** below, identify the different **types of risk** that a business might face.

Use the terms given below.

Financial	Operational	Compliance	Strategic
-----------	-------------	------------	-----------

Description		Type of Risk
1.	Failing to follow laws and regulations	
2.	Setting poor business objectives	
3.	Poor running of daily activities	

[3]

Question 4 (11 marks)

Refurbished Mobile Shop

Ricardo has launched a small enterprise to sell second-hand mobile phones.

He uses various promotional strategies to make more customers aware of his products.



(a) Define the term '**product**'.

.....

.....

..... [2]

(b) State **two** promotional strategies that Ricardo may use.

1.

2. [2]

(c) Ricardo is aware that the price he is going to charge for the second-hand mobiles needs to be very competitive.

Explain the term '**competitive pricing**'.

.....

.....

..... [2]

- (d) Identify and explain **one** factor that Ricardo needs to consider while setting the price of the mobile phones.

Factor: [1]

Explanation:

.....

..... [2]

- (e) Ricardo is considering changing his channel of distribution to reach more customers.

Explain **one** factor that Ricardo might consider when choosing a new channel of distribution.

.....

.....

.....

..... [2]

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Question 5 (9 marks)

Boba Drink Fiesta

Boba Drink Fiesta (BDF) sells a trendy tea-based drink prepared with tapioca pearls. BDF has prepared a business plan for the opening of its new outlets in three different regions.



- (a) (i) Explain the term '**business plan**'.

.....

.....

..... [2]

- (ii) State **two** components of a business plan.

1.

2. [2]

- (iii) Give **one** reason why the preparation of a business plan is important for BDF.

.....

.....

.....

..... [2]

- (b) The demand for the drink sold by BDF is affected by various factors.

Identify and explain **one** factor that may influence the demand for BDF.

Factor: [1]

Explanation:

.....

..... [2]

E

TL

CE

END OF PAPER